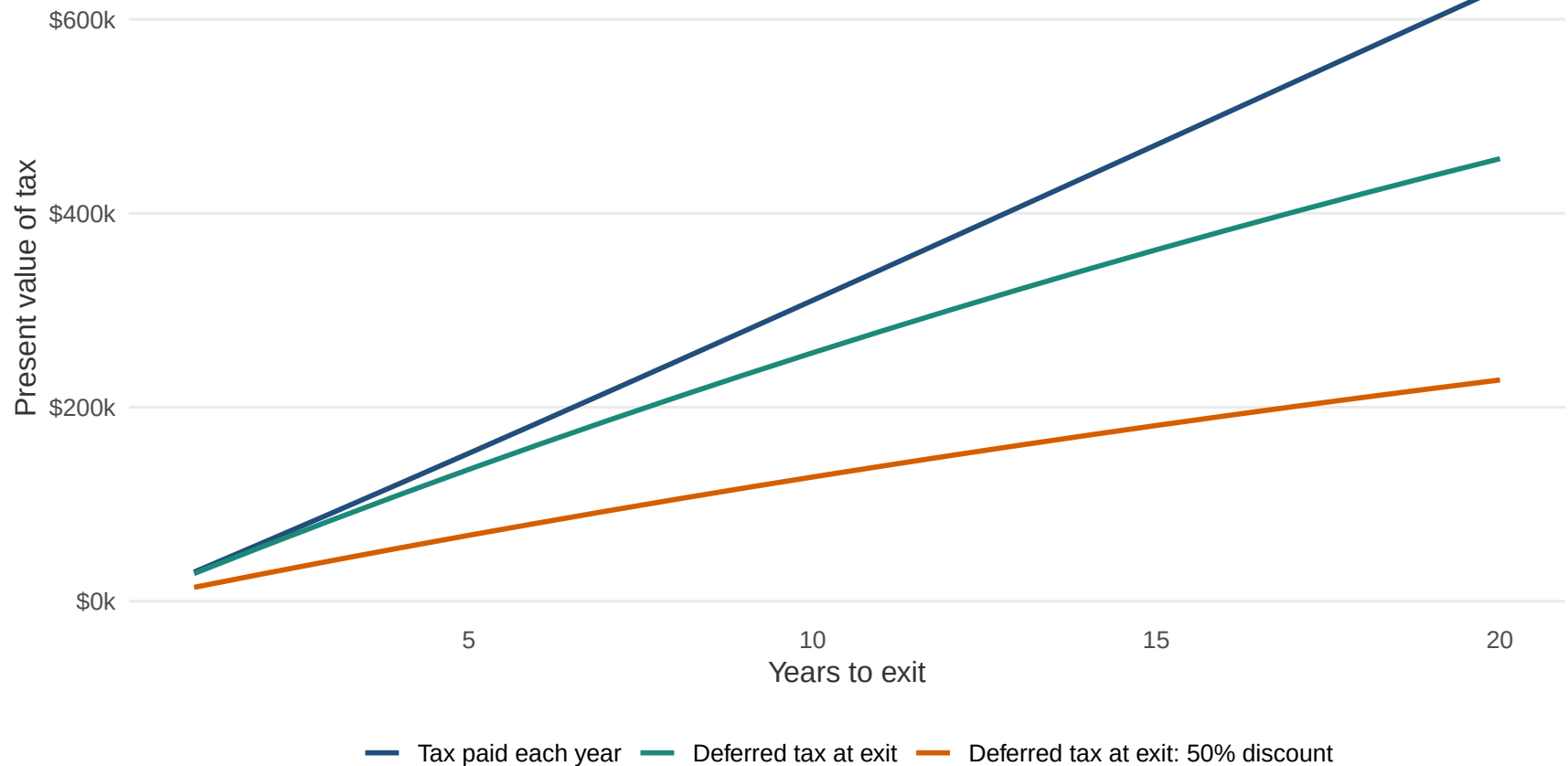


# Founder case: deferral lowers the present value of tax

Even when the same full gain is eventually taxed, later tax is worth less today



Founder creates \$100,000 of real value each year. Tax rate: 30%. Reinvestment/discount rate: 5.1% nominal.